Lululemon Stock Pitch 2025

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By Team name - The Capital Queens
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Company Overview I

HISTORY: Lululemon was started in 1998 by Chip Wilson. The first retail store was opened in a local yoga studio in Kitsilano, Vancouver, Canada. The business kept expanding to locations such as Santa Monica, California, and Melbourne, Australia. In 2007, Lululemon was publicly listed on NASDAQ. And over the past 26 years, the brand has experienced massive success and growth.

BUSINESS MODEL: It is a brand which designs, distributes and retails athletic apparel, accessories and footwear. It's apparel includes pants, shorts, tops and jackets that are designed for athletic activities like yoga, running and training. They operate in over 25 countries around the world and have operations in four regional markets: Americas, China Mainland, Asia Pacific, Europe and the Middle East.
They operate through different channels in the market which includes company-operated stores, E-commerce, wholesale, outlets, temporary locations, like new, license and supply arrangements.

Lululemon focuses on the "power of three" strategy which includes product innovation, guest experience and market expansion. It outlines key priorities that helps the company to drive a responsible revenue growth.

Vision: "To create transformative products and experiences that build meaningful connections, unlocking greater possibility and wellbeing for all."

Company Overview II

Market Capital: $50.07B
Beta: 1.19
YTD % Change: 10.27
P/E (TTM): 30.49
Revenue (TTM): 9.99B
ROE (TTM): 46.21%
Gross profit (TTM): 5.85B
Net Margin (TTM): 17.05%
EBITDA: 2.7B
EPS (TTM): 13.81

Headline - why Lululemon is signalling it's having a healthy holiday sales quarter?
(Global News) - 13th Jan 2025
The Business increased their sales targets for the year due to the demand generated by the holiday season shopping.
The apparel industry had the highest discount rates in the U.S at about 33%
At the same time Lululemon focused on introducing new colors and designs to their product portfolio, selling at full price this helped increase profit margins and profit forecasts.
The Company also saw a 4% rise in share prices.

CSR Lululemon has implemented their CSR values in the Impact Agenda which consists of three main pillars.
Be Human: inclusivity, diversity, equity, action, fair labour practices and employee empowerment.
Be Well: providing equitable access to resources and tools for wellbeing.
Be Planet: low impact products, focuses on climate action, reducing operational and supply chain impacts as well as packaging and waste.

Nike
Adidas AG
Puma
Under Armour
Aritzia - Tna
Alo yoga
The Gap (Athleta)

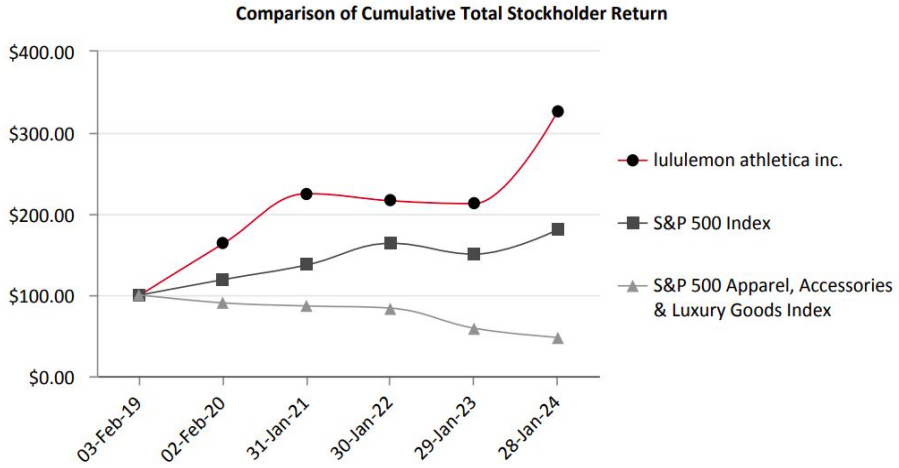
Company Overview III

For the third quarter of 2024, net revenue increased by $192.4 million or 9% to $2.4 Billion from $2.2 billion in the third quarter of 2023.

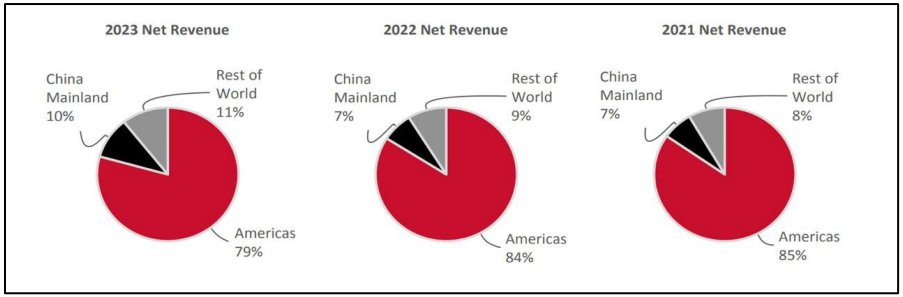
Gross profit increased by 12% to $1.4 billion.

Adjusted gross profit increased 9%.

STOCK PERFORMANCE



	Third quarter		First three quarters	
	2024	2023	2024	2023
Net revenue				
America	$1,770,382	$1,732,398	$5,134,079	$5,019,909
China mainland	$318,338	$228,595	$936,313	$673,108
Rest of the World	$307,940	$243,225	$906,237	$721,158
	$2,396,660	$2,204,218	$1,889,206	$1,878,506

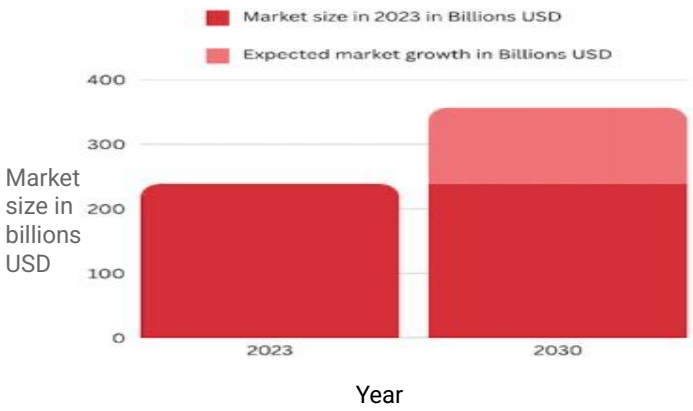


Industry Landscape I

Over the past decade, there has been immense growth in the market for activewear, and this is expected to keep growing further. According to Yahoo finance the global market for activewear is estimated to be **US$238.8 Billion in 2023 and is expected to reach US$357.3 Billion by 2030**, growing at a **CAGR** of **5.9%** from 2023 to 2030.

The high expected growth rates are driven by a range of factors, including individuals shifting towards a healthier lifestyle, social media influence, more accessibility to physical activity, fashion trends and the sustainable stances taken by producers.

Some of the leading firms include Nike, Adidas, Gymshark, Athleta (the Gap), Tna (Aritzia), Under Armour, Puma and Alo.



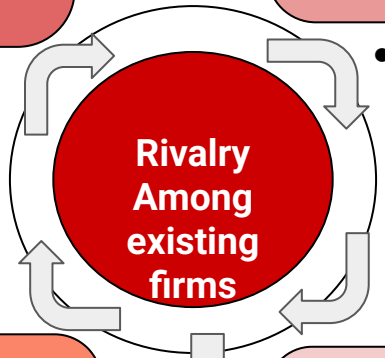
Industry Landscape II - Porter's Five Forces

Threat of New Entrants

- The existing firms in the market such as Nike, Adidas, Alo, Under Armour, Aritzia(Tna), Athleta and Gymshark would make it difficult for new firms to enter and become established

Bargaining power of suppliers

- The Bargaining power of suppliers in such an industry is likely to be high as the market for athletic wear is highly competitive and firms are ;looking for ways to standout, this may be through the use of better materials. Asking suppliers to customize then fabric would result in bigger leverage for the suppliers.



Bargaining Power of Buyers

- The market for athletic wear is highly competitive and consumers have a wide variety of brands to choose from giving them more leverage.

Threat of substitutes

- As consumers are becoming more environmentally conscious and with the popularization of thrifting consumers may choose thrift which might make the growth in sales slower.
- Changes in fashion trends and lifestyle.

There is a high degree of rivalry (fierce competition) among the existing firms as they are well established brands and the firms should make sure that their products are differentiated to give an edge.

To sum up the market for athletic wear has high growth potential but is highly competitive which would make it less attractive for a new entrant to join the industry.

Industry Landscape III - Micro & Macro level factors

Micro level factors

- Lululemon's sales have been in an increasing trend for the past five years and is expected to keep growing overtime.
- Lululemon has a wide product range with high growth potential such as activewear for men and women, accessories, bottles, bags, keychains, jackets, shoes and workwear
- Lululemon also has a loyal consumer base due to their high quality reputation and growing brand image due to its social media presence.
- Direct selling to consumers.
- Competition - Lululemon lost 2% U.S. market share to Nike & Alo Yoga in 2023.

Macro level factors

- Fall/ stagnation in global income growth rates due to the poor economic environment.
- Supply shocks caused due to surges in oil prices. This affects manufacturing and shipping costs as Lululemon has production plants in china, Bangladesh ,Peru and Indonesia.
- Consumers shift into sustainability - Lululemon has an option to return used clothes for recycling.
- Increasing Labour costs - 30% of Lululemon's clothes are manufactured in Vietnam and Cambodia where there has been a recent trend in rising labour costs.

Investment Theses - Why Lululemon?

Strong branding

- Lululemon Focuses on a more upscale market through the use of a differentiated product mix. The products are not only fashionable they are functional as well, in order to maximize consumer satisfaction.
- The brand has invested quite significantly on their digital presence through their website and marketing campaigns. The firm has an extremely loyal consumer base who would keep repurchasing the products. ("cult like customer loyalty")
- Further, the brand has focused on community branding where they ensure better in-store customer service and ambassador programs.

Pathway to Sustainable growth & innovation

- Lululemon has executed a Power of Three x2 growth plan which 3 pillars, Product innovation, Guest Experience and Market expansion. These pillars would help the firm gain an edge in the market as it describes the firm's drive to innovate, improve their customer experience and create a positive impact.
- Lululemon has partnered with a number of leading sustainable material innovators to achieve their Science of feel and product quality promise and create products that are good for the environment and reduce the dependence on fossil fuels without compromising quality which makes lululemon standout.

Modelling and Valuation I - Discounted Cash-flow Model

DCF	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Revenue	3,979,296	4,401,879	6,256,617	8,110,518	9,619,278	11,466,180	13,644,754	15,646,560	18,675,027	22,843,783
% growth		*10.6%*	*42.1%*	*29.6%*	*18.6%*	*19.2%*	*19.0%*	*14.7%*	*19.4%*	*22.3%*
EBIT	889,110	819,986	1,333,355	1,328,408	2,132,676	2,612,528	3,080,000	3,808,970	4,956,075	5,952,505
% margin	*22.3%*	*18.6%*	*21.3%*	*16.4%*	*22.2%*	*22.8%*	*22.6%*	*24.3%*	*26.5%*	*26.1%*
Taxes	251,797	230,437	358,547	477,771	625,545	757,633	908,600	1,135,073	1,487,722	1,845,276
% of EBIT	*28.3%*	*28.1%*	*26.9%*	*36.0%*	*29.3%*	*29.0%*	*29.5%*	*29.8%*	*30.0%*	*31.0%*
EBIAT						**1,854,895**	**2,171,400**	**2,673,897**	**3,468,353**	**4,107,229**
D&A	161,933	185,478	224,206	291,791	379,834	425,300	535,000	600,350	699,000	898,900
% of sales	*4.1%*	*4.2%*	*3.6%*	*3.6%*	*3.9%*	*3.7%*	*3.9%*	*3.8%*	*3.7%*	*3.9%*
CapEx	283,048	229,226	394,502	638,657	644,492	790,000	953,898	1,115,000	1,353,222	1,781,000
% of sales	*7.1%*	*5.2%*	*6.3%*	*7.9%*	*6.7%*	*6.9%*	*7.0%*	*7.1%*	*7.2%*	*7.8%*
Change in NWC	46,500	(3,300)	(141,102)	562,740	(327,043)	(111,126)	223,456	360,000	156,745	(254,036)
% of sales	*1.2%*	*(0.1%)*	*(2.3%)*	*6.9%*	*(3.4%)*	*(1.0%)*	*1.6%*	*2.3%*	*0.8%*	*(1.1%)*
Unlevered FCF						**1,601,321**	**1,529,046**	**1,799,247**	**2,657,386**	**3,479,165**
Present Value of FCF						**1,436,831**	**1,231,048**	**1,299,788**	**1,722,517**	**2,023,536**

Terminal Value	31,074,464
Present Value of Terminal Value	18,073,391
Enterprise Value	**25,787,110**
+ Cash	$2,243,971
- Debt	$1,460,000
Equity Value	**26,571,081**
Shares	122,697
Share Price	**$ 216.56**

Key Takeaways

- Implied Share Price $216.56
- Current Share Price $411.16 (as of 29th Jan)

Based on the DCF analysis it can be identified that the firm's shares are overvalued with a downside of 52.7%

Assumptions	
Valuation Assumptions	
WACC	11.4%
TGR	2.3%

Modelling & Valuation II - Comparable Company Analysis

COMPANY		SHARE PRICE	ENTERPRISE VALUE	EV/REVENUE	EV/EBITDA	BETA	P/E TTM	MARKET CAP
Lululemon	NasdaqGS: LULU	411.16	50.40B	4.95	18.04	1.24	29.22	50.07B
Nike	NYSE:NKE	76.58	115.58B	2.36	18.29	1.03	23.64	113.27B
The Gap - Athlet	NYSE:GAP	24.53	12.56B	0.82	7.5	2.35	11.36	9.25B
Adidas	IOB:0OLD.IL	256.6	48.27B	2.14	23.55	1.1	119.86	45.28B
Underarmour	NYSE:UA	8.2	4.15B	0.77	37.93	1.66	12.98	3.46B
Aritzia-Tna	Toronto: (ATZ.TO	70.72	8.68B	3.44	20.49	1.84	62.43	7.99B
				EV/REVENUE	EV/EBITDA			
MIN				0.77	7.5		11.36	
MEDIAN				2.25	19.39		26.23	
MEAN				2.41333333	20.9666667		43.25	
MAX				4.95	38.99		119.86	

Evaluation

- **EV/Revenue** - Lululemon's EV/Revenue is the highest in the group therefore this indicates that investors pay per $ revenue compared to the other firms.
- **EV/EBITA** - However, Lululemon's EV/EBITA is valued quite fairly as it falls below the median of 19.39 and the mean value of 20.97
- **P/E** -Lululemon's P/E is above the mean and the median, this indicates a premium valuation.

Concluding Statement

Future Prospects

As mentioned in our company overview Lululemon's revenues are expected to grow.
Further, the brand's huge social media presence and brand loyalty makes Lululemon an attractive company. However, given the overvalued share prices it is not recommended to buy.

Investment Recommendation

Sell Lululemon shares at the prevailing market price as the share is highly overvalued compare to the intrinsic value of $216.56 (downside of 52.7%)

Further, according to data Lululemon's Stock prices have risen very sharply over the last 6 months from approximately $249 to $414.20. This overshoot might be the reason for Lululemon's shares being overvalued.

Additional Recommendation

Investors should sell shares to make a profit as the company is overvalued in the present.
And buy shares in the future when share prices are low as Lululemon has large growth prospects.

Appendix

Assumptions & Predictions

Income Statement	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Revenue	3,979,296	4,401,879	6,256,617	8,110,518	9,619,278	11,466,180	13,644,754	15,646,560	18,675,027	22,843,783
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Cash Flow Items	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
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% of sales	*1.2%*	*(0.1%)*	*(2.3%)*	*6.9%*	*(3.4%)*	*-1.0%*	*1.6%*	*2.3%*	*0.8%*	*-1.1%*

WACC

WACC

WACC = (% Equity x Cost of Equity) + (% Debt x Cost of Debt x (1 -Tax rate))

Cost of Equity = Risk Free Rate + (Beta x (Expected Market Return - Risk Free Rate))

Debt	1,460,000,000
% Debt	3.0%
Cost of Debt	4.5%
Tax Rate	28.8%
Equity Value	46,600,000,000
% Equity	97%
Cost of Equity	11.7%
Risk Free Rate	4.45%
Beta	1.24
Market Risk Premium	4.7%
Debt + Equity	48,060,000,000
WACC	**11.45%**
expected market return	10.30%

The End!